

PM Planning with Adam (5/19/2025)

News for Today

- FOMC Member Bostic Speaks (8:30AM)
- FOMC Member Williams Speaks (8:30AM)
- US Leading Index (Mom) (Apr) Forecast (-0.7%) Previous (-0.7%) (10:00AM)
- Fed Logan Speaks (1:15PM)
- FOMC Member Kashkari Speaks (1:30PM)
- Nvidia (\$NVDA) stock fell 3.1% after CEO Jensen Huang unveiled new AI technologies at the Computex exhibition in Taiwan, covering both enterprise and consumer use cases.
- Walmart (\$WMT) stock dropped 1.8% after President Trump said the retailer should absorb higher import tariffs and warned against price increases.
- Microsoft (\$MSFT) stock declined 0.8% as the company hosted its annual software developer conference, focused on turning AI investments into profitable products.
- JPMorgan Chase (\$JPM) stock slipped 0.8% ahead of its investor day, where CEO Jamie Dimon is expected to address the impact of tariffs.
- Netflix (\$NFLX) stock fell 1.7% after JPMorgan downgraded it to 'neutral' from 'overweight', citing reduced risk-reward following recent gains.
- BP (\$BP) ADRs dropped 0.8% after Jefferies downgraded the stock to 'hold' from 'buy' due to execution risks and lower oil price forecasts for 2025–2026.
- Qualcomm (\$QCOM) stock was down 0.8% after announcing it will develop custom data center CPUs to pair with Nvidia's AI chips.
- Blackstone (\$BX) stock declined 1.9% after its infrastructure unit announced an \$11.5 billion acquisition of utility firm TXNM Energy.

U.S. Stock Futures Tumble After Moody's Downgrade Sparks Debt Concerns

U.S. stock index futures fell sharply on Monday as investor sentiment soured following a surprise credit rating downgrade by Moody's, which cited mounting U.S. debt and slowing economic growth.

At 05:15 ET (09:15 GMT), Dow Jones futures dropped 385 points, or 0.9%, S&P 500 futures fell 76 points, or 1.3%, and Nasdaq 100 futures plunged 360 points, or 1.7%.

The sharp sell-off comes after a strong showing last week, where investors cheered a temporary trade agreement between the U.S. and China that rolled back certain tariffs. The Nasdaq Composite led the rally with a more than 7% gain, followed by a 5% jump in the S&P 500 and a 3% climb in the Dow Jones, which moved into positive territory for the year.

Moody's Cuts U.S. Credit Rating Over Soaring Debt

Moody's downgraded the U.S. sovereign credit rating from 'Aaa' to 'Aa1' on Friday, ending more than a century of top-tier status. The credit agency pointed to the country's surging \$36 trillion debt burden and flagged concerns over new tax cut proposals being pushed by former President Donald Trump.

A Congressional committee approved Trump's sweeping tax reform bill on Sunday, setting it up for a vote in the House later this week. Analysts estimate the legislation could add between \$3 trillion and \$5 trillion to the national debt over the next decade.

While the Trump administration criticized the downgrade, it pointed to future plans to rein in spending through a new "Department of Government Efficiency" led by Elon Musk. However, the agency has yet to produce any tangible results.

Fed Speakers Take the Stage

Investors are also watching comments from several Federal Reserve officials slated to speak throughout the day, including Atlanta Fed President Raphael Bostic, New York Fed President John Williams, and Dallas Fed President Lorie Logan. Markets will be paying close attention to any insights into future interest rate decisions, especially in light of growing fiscal headwinds.

Trump Targets Walmart Over Tariff Pricing

In a separate development, Trump criticized Walmart (\$WMT) over the weekend, urging the retail giant to absorb the cost of higher import tariffs rather than pass them on to consumers. His remarks followed Walmart's statement last week indicating it would need to raise prices on general merchandise sourced from China due to increased duties — even with the recently reduced rates.

Walmart, widely viewed as a gauge of U.S. consumer strength, is expected to remain under pressure as trade tensions continue to affect import-heavy retailers.

Nvidia Unveils New AI Tools at Computex

Nvidia (\$NVDA) CEO Jensen Huang took center stage at the Computex AI exhibition in Taiwan, delivering a nearly two-hour keynote filled with major announcements. Huang introduced cutting-edge AI hardware for data centers, new AI-powered consumer computing products, and robotics software, further reinforcing Nvidia's leadership in the artificial intelligence space.

Oil Prices Retreat on China Data, U.S. Downgrade

Crude oil prices declined Monday as mixed Chinese economic data and the Moody's downgrade fueled concerns about global demand. Brent crude fell 0.5% to \$65.10 a barrel, while U.S. West Texas Intermediate dropped 0.5% to \$61.65.

China's industrial production rose more than expected in April, but retail sales disappointed, signaling weak domestic demand. Traders are also wary of the impact that U.S. fiscal instability might have on energy consumption, with the U.S. being the world's largest oil consumer.

Adam's Watchlist

- \$QQQ: Looking to go long off the 513's KL for a push up into the 515.44's KL and potentially the 517.23's KL. If we break below 513's KL ill be looking to go short down to the 507.74's KL.
 - \$NVDA: Looking to go long off the 132.75's KL for a push up into the 134.88's KL.
 - \$MSTR: Looking to go long off the 390.39's KL for a push up into the 398.61's KL and potentially the 403.30's KL.
 - \$CMCSA: Looking to go long off the 35's KL for a push up into the 36.67's KL and potentially the 37.26's KL.
 - \$NEE: Looking to go long off the 75's KL for a push up into the 76's KL.
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COMMUNITY WATCHLIST

- \$MU: Looking to go long off the 96.18's KL for a push up into the 100's KL.
 - \$NVAX: Looking to go long off the 7.81's KL for a push up into the 8.52's KL.
 - \$EL: Looking to go long off the 67.28's KL for a continuation move up.
 - \$HOOD: Looking for a continuation move up towards ATH level.
 - \$COIN: Looking to go long off the 260's KL for a push up into the 263.18's KL and potentially the 269's KL.
 - \$QBTS: Looking to go long off the 12.68's KL for a push up into the 13.50's KL and potentially the 14's KL.
 - \$HIMS: Looking to go off the 64.99's KL for a push up into the 69's KL.
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